Investment Banking

Component B
VC/PE Pitch Document

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Apna Khaana

Tasty food, made to fit you.

Seed Round · Pitch Document

Sector	Foodtech / cloud kitchen
Stage	Seed
Geography	Bengaluru
Traction	2 kitchens · ~6,000 orders / month · ₹320 AOV · ~₹2.3 cr revenue run-rate
Raising	₹4 crore at a ₹16 crore pre-money valuation (20% stake)

In one line. Apna Khaana makes everyday meals adaptable to individual taste through a standardised, scalable system, turning personalisation into the retention engine that cloud-kitchen economics depend on.

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Section 1: Executive Summary

Apna Khaana is a Bengaluru-based foodtech/cloud-kitchen venture built around a simple insight: customers increasingly want everyday food that fits their individual nutritional and taste preferences, but today's delivery market is largely built around standardised meals and aggregator-led discounting. Apna Khaana addresses this gap by allowing customers to configure meals across **spice level, oil level, protein source, meal base and nutritional add-ons**, while keeping the underlying kitchen process standardised and scalable. The objective is not to make another "healthy food" brand, but to make **personalisation a repeat-order engine**.

Investment Thesis: Why Now, Why Apna Khaana

The timing is attractive because three trends are converging. India's online food-delivery market is expanding rapidly, with penetration expected to reach 20% by 2030; consumers are simultaneously showing stronger demand for healthier food, with 49% actively seeking high-fibre foods and 58% of urban consumers prioritising nutrition over taste. Platform behaviour is also validating the shift: Swiggy launched a dedicated High Protein category across 30 cities in 2025, while updated ICMR-NIN/FSSAI dietary guidance has increased focus on oil and sugar consumption.

Apna Khaana already has early proof of demand, with **2 kitchens, ~6,000 monthly orders, ₹320 AOV and ~₹2.3 crore annualised revenue**. The business is contribution-positive at **18–25% contribution margin**, although it currently remains loss-making because of fixed costs and customer acquisition. The central investment question is therefore whether personalisation can improve repeat behaviour enough to make customer economics scalable. Current estimates show a 30–40% 90-day repeat rate; retained customers can generate approximately 5× LTV/CAC, compared with 1.2–1.8× for the blended customer base, making retention the key value-creation lever.

The addressable opportunity is substantial: the TAM is ~₹2.12 lakh crore by 2030, while the health-customisable urban delivery opportunity is estimated at ₹4,600–7,500 crore SAM. Apna Khaana's staged SOM targets ₹35–45 crore revenue at 25–30 kitchens by Year 3–4, expanding to ₹110–150 crore across 70–90 kitchens and 4–5 metros by Year 5–6.

Financially, the plan scales from ₹2.3 crore current annualised revenue to ₹5.75 crore in Year 1 and ₹17.25 crore in Year 2, reaching ₹35–45 crore in Year 3. EBITDA is projected to improve from –₹0.55 crore currently to –₹0.77 crore in Year 1, –₹0.35 crore in Year 2 and ₹2.8–3.6 crore in Year 3, as utilisation, retention and direct-channel mix improve.

We propose raising **₹4 crore at a ₹16 crore pre-money valuation**, implying a **₹20 crore post-money valuation and 20% investor ownership**. The valuation is supported by two methods: the forward revenue multiple approach gives **₹17.25 crore at a 3× base-case multiple**, while the VC method gives **₹15.5 crore pre-money** using the ₹110–150 crore Year 5–6 revenue plan, a 3× exit multiple and a 20× required return. The proposed ₹16 crore valuation therefore sits between the two independent base-case outputs.

The ₹4 crore will fund three additional kitchens, technology and personalisation, customer acquisition, team capacity, and working capital, taking the business toward 5 kitchens, ~15,000 monthly orders and ~₹5.75 crore Year-1 revenue.

Section 2: Problem & Solution

A large, fast-growing delivery market has proven appetite for healthier food, but no scalable way to personalise everyday meals. Apna Khaana closes that gap.

2.1 The problem

India's food services market stands at roughly ₹5.5 lakh crore, and online delivery is its fastest-moving part, with penetration rising from 8% in 2019 to 12% in 2023 and headed toward 20% by 2030 (Bain & Company and Swiggy, How India Eats, 2024). Demand has also changed shape. A NielsenIQ survey in January 2025 found 49% of Indian consumers actively seeking high-fibre foods, 37% exploring plant-based proteins and 35% reaching for superfoods, and 58% of urban consumers now report prioritising nutrition over taste (NielsenIQ, 2025; Grand View Research, 2026). The number of health-conscious consumers is projected to reach about 176 million in 2026, up from 108 million in 2020 (Indian Retailer, 2022).

Two frictions sit in the way of that demand. First, consumers will not trade taste for health: 94% say they want healthier food without giving up flavour (Farmley Indian Healthy Snacking Summit, 2025), yet most healthy delivery options still read as bland diet food. Second, the delivery format cannot personalise at scale. A customer who wants less oil, more protein or a milder spice level types a free-text note that a busy kitchen routinely misses, and the meal arrives inconsistent. Cloud kitchens, the natural home for this, mostly compete on discounts rather than product, and the economics punish them for it: aggregator commissions and fees strip 25-35% out of every order, and India's cloud kitchen attrition runs at 30-40% a year as under-scaled, undifferentiated brands exit the market (Kaam, 2026; IMARC, 2026).

2.2 The solution

Apna Khaana turns personalisation into a standardised, repeatable system. Instead of free-text requests, customers choose from pre-designed configurations, spice level, oil level, protein source, meal base and nutritional add-ons, that the kitchen is set up to execute consistently every time. The menu pairs familiar, genuinely tasty meals with ingredients such as paneer, tofu, eggs, chicken, dals, legumes, sprouts and seeds, so the food is nutritious without announcing itself as diet food.

The differentiation is operational, not culinary. Healthy food is not a new category and we do not claim to have invented it. What we build is a system that adapts meals to individual preference while keeping kitchen operations standard, and that combination is far harder to copy than a menu. It also compounds. The same customer orders a high-protein meal after the gym one day and a lighter one the next, from the same brand and the same kitchen, which lifts repeat usage, the single most important variable in cloud-kitchen economics.

2.3 Why now

The timing signals are aligned across consumer, regulator and platform. In April 2025 Swiggy launched a dedicated High Protein category across 30 cities, an explicit bet by the largest platform that health-oriented, occasion-specific ordering is going mainstream (Data Bridge, 2025). In February 2025 the ICMR-National Institute of Nutrition and FSSAI issued revised dietary guidelines advising Indians to cap oil at 30g and sugar at 25g a day, pushing the exact levers, oil, spice and portion, that Apna Khaana lets customers control (Data Bridge, 2025).

Section 3: Market Sizing (TAM / SAM / SOM)

A ₹2.12 lakh crore delivery market, a ₹4,600-7,500 crore health-customisation niche within it, and a staged path to ₹110-150 crore of obtainable revenue by year five to six.

3.1 TAM / SAM / SOM and Our Approach

We size the opportunity top-down for the total category and bottom-up for the reachable segment, then reconcile the two. Every figure is anchored to a cited industry or primary source, and the addressable numbers are built from a stated filter rather than assumed, because the credibility of a sizing rests on the bridge between the numbers, not on the headline.

3.1.1 Total Addressable Market

The TAM is India's online food delivery market, the transaction pool Apna Khaana sells into. The Bain-Swiggy How India Eats study puts this at about ₹2.12 lakh crore by 2030, growing at roughly 18% a year to reach 20% penetration of the wider food services market (Bain & Company and Swiggy, 2024). On the same trajectory the market sits at approximately ₹90,000 crore to ₹1 lakh crore in 2025.

3.1.2 Serviceable Addressable Market

The SAM narrows the TAM to what our model and target segment can reach: health-oriented, everyday-meal delivery demand from urban consumers in India's top metros. We build it bottom-up, then cross-check top-down.

3.1.3 Bottom-up build:

- India's two delivery platforms report roughly 2.09 crore (Zomato) and 1.51 crore (Swiggy) monthly transacting users in FY25, netting to about 30 million unique active users after overlap (Eternal and Swiggy FY25 results, 2025).
- The top eight metros drive the majority of volume; we assign about 57%, or roughly 17 million users (the top 50 cities account for 70% of consumption per Bain-Swiggy, 2024; Ken Research, 2026).
- Applying a conservative 35% who would actively pay for health-customisable everyday meals, well below the 49-58% expressing health intent, leaves about 6 million target users.
- At two category orders a month at a ₹320 average order value, annual spend per user is about ₹7,700.

That gives a base-case SAM of about ₹4,600 crore, and we carry a range of ₹4,600 to ₹7,500 crore to reflect upside in the user and frequency assumptions.

3.1.4 Top-down cross-check:

India's cloud kitchen market is about ₹10,000-11,000 crore in 2025, heading to roughly ₹18,500 crore by 2030, with South India (Bengaluru, Hyderabad, Chennai) the largest region at about 35% (IMARC, 2026; TechSci Research, 2024). A health-customisation SAM of ₹4,600-7,500 crore across all delivery channels in the top metros is a sensible order of magnitude against that reference.

3.1.5 Serviceable Obtainable Market

The SOM is what we can realistically capture over five to six years, built in stages so the size of the ask can be judged against a trajectory rather than a single ceiling. Each stage compounds off the same per-kitchen throughput used in the seed base case, about ₹1.15 crore per kitchen per year at current channel mix, with a

modest uplift as the direct, subscription and corporate channels described in Section 4 mature and raise effective revenue per kitchen.

Stage	Timeframe	Footprint	Est. revenue
Seed (this round)	Year 1	5 kitchens · Bengaluru	~₹5.75 crore run-rate
Series A	Year 3-4	25-30 kitchens · 2-3 metros	~₹35-45 crore
Medium-term SOM	Year 5-6	70-90 kitchens · 4-5 metros	~₹110-150 crore

The medium-term footprint, four to five metros, mirrors the geography already used to build the SAM rather than introducing a new assumption, and it stays well inside what a comparable operator has proven executable: Curefoods scaled to over 500 locations across more than 70 cities within about five years of founding (Medianama, 2025). Seventy to ninety locations across four to five metros for Apna Khaana is a fraction of a demonstrated ceiling, not a stretch beyond it.

We therefore set a medium-term SOM of ₹110-150 crore, roughly 1.5-3% of SAM. This base case is itself built on the conservative end of its own inputs: the 35% health-inclined filter applied to reach SAM sits well below the 49-58% of consumers already expressing health intent, the per-kitchen revenue carries only a modest channel-mix uplift over today's aggregator-heavy baseline, and the footprint pace (70-90 kitchens by year five to six) trails Curefoods' proven ceiling of 500-plus locations by a wide margin. None of these inputs is pushed to its optimistic edge.

Layer	Figure	Basis	Source
TAM	₹2.12 lakh cr (2030) ~₹1 lakh cr (2025)	India online food delivery market	Bain-Swiggy, 2024
SAM	₹4,600-7,500 cr	~6M health-inclined users, top-8 metros, ~₹7,700/yr	Eternal/Swiggy FY25; NielsenIQ 2025; IMARC 2026
SOM	₹110-150 cr (5-6 yr) ~1.5-3% of SAM	Kitchen throughput, 5 → 70-90 kitchens	Bottom-up build; Curefoods comparable

3.2 Scenario analysis: how the SOM moves

The base case above holds execution pace and the retention thesis at their mid-point. The scenarios below flex the same two drivers, expansion pace (kitchens and metros reached by year five to six) and how well standardised personalisation performs against the 30-40% repeat-rate benchmark, to show how the medium-term SOM and the implied return on the ask move either side of the base case.

Driver / outcome	Conservative	Base	Optimistic
Kitchens (Year 5-6)	45-55	70-90	110-130
Metros	3	4-5	6-7
90-day repeat rate	30%	35%	40%+
Revenue per kitchen / year	~₹1.15 cr	~₹1.57-1.67 cr	~₹1.5-1.6 cr
Medium-term SOM	~₹52-63 cr	~₹110-150 cr	~₹165-208 cr
% of SAM	~0.8-1.5%	~1.5-3%	~2.5-4.5%
Implied return vs ₹20 cr post-money	~2.6-4.7x	~5.5-11x	~8.3-15.6x

The conservative case assumes the channel mix stays close to today's aggregator-heavy split and repeat holds at the lower end of the sector benchmark; the optimistic case assumes the direct, subscription and corporate channels in Section 4 mature faster and retention moves toward the upper end of what comparable health and gym-adjacent operators report. Both remain inside footprint and repeat-rate ranges already grounded in the sources above, not new assumptions introduced for this table.

What this means for the raise. Applying Curefoods' own implied listing multiple of roughly 1.0 to 1.5x revenue (a ₹800 crore issue size against about ₹745 crore of FY25 revenue) to each scenario, the year five to six company value implied by the SOM ranges from roughly ₹52-95 crore in the conservative case to ₹110-225 crore in the base case and ₹165-312 crore in the optimistic case, against a ₹20 crore post-money today: an illustrative 2.6-4.7x, 5.5-11x and 8.3-15.6x respectively. Even the conservative case clears a credible return; the range is a sanity check on the ask across outcomes, not a single projection.

Section 4: Business Model

Four revenue streams, a deliberate shift from aggregator reach to direct and subscription margin, and unit economics that are contribution-positive today and turn on repeat.

Revenue streams

Apna Khaana earns across four streams, sequenced so the mix shifts toward higher-margin channels as the brand builds direct demand.

- **A la carte delivery**, the core today, sold through Swiggy and Zomato for discovery and through the brand's own app and WhatsApp for direct orders, at a ₹320 average order value.
- **Meal-plan subscriptions**, weekly and monthly, which raise retention, lift lifetime value and smooth demand so kitchens can plan production.
- **Corporate and gym-adjacent catering**, bulk daily orders to offices and fitness centres, identified in sector data as the highest-margin, lowest-acquisition-cost channel in cloud kitchens, with 35-40% repeat economics (IMARC, 2026).
- **Premium nutritional add-ons**, an upsell layer on the core order.

Channel strategy: the margin lever

The single most important operating decision is channel mix. Aggregators deliver reach but strip 25-35% out of every order once commission, platform fees, payment charges and GST are counted, and Curefoods disclosed in its DRHP that 85.6% of FY25 sales still ran through the two platforms (Kaam, 2026). Our plan is to use aggregators as an acquisition channel, not a revenue model, and to migrate retained customers to direct, subscription and corporate channels, where operators hold 15-20 percentage points more margin (IMARC, 2026). That shift separates the brands that last beyond twelve months from the 30-40% that do not.

Unit economics, benchmarked

Each input is tested against operator benchmarks before it enters the model.

Metric	Apna Khaana	Sector benchmark	Verdict
Average order value	₹320	~₹300-500 typical	In range
Gross margin (pre-commission)	58-62%	60-70%	Conservative
Aggregator leak	modelled 25-35%	25-35% of order value	Matches
Contribution margin	18-25%	18-28%	Matches
90-day repeat rate	30-40%	35-40% (health/gym)	Matches
CAC (blended)	₹400-600	LTV/CAC target 3x	Retention-dependent
Subscription churn	8-10% / month	thin public data	Key sensitivity

Lifetime value, payback and the retention hinge

Contribution per order is about ₹69 at the midpoint (₹320 at ~21.5%), within a ₹58-80 band across the contribution range. From there the economics split sharply by whether a customer is retained.

For a retained customer ordering about three times a month with a roughly twelve-month life at 8% monthly churn, lifetime orders are about 36 and lifetime value is about ₹2,500. Against a blended acquisition cost of ₹500 that is an LTV/CAC of about 5.0x, well above the 3x bar the sector uses, with acquisition cost recovered in about 2.4 months.

The honest counter-case is the blended cohort. At a ₹320 order value and ₹58-80 of contribution, no single order recovers a ₹400-600 acquisition cost, so the first order always loses money and everything depends on repeat. At today's 30-40% ninety-day repeat rate, the blended customer, including the one-and-done majority, generates lifetime value closer to ₹600-900 and an LTV/CAC nearer 1.2-1.8x, which does not clear the bar.

That gap is the investment case, not a flaw in it. Standardised personalisation exists precisely to move customers from the blended cohort into the retained cohort by giving them a reason to return, and every point of repeat-rate improvement pushes blended LTV/CAC toward and past 3x. The product thesis and the unit-economics fix are the same thing.

Path to profitability

The business is already contribution-positive at 18-25%. The current annual loss of ₹50-60 lakh on ₹2.3 crore of revenue is a fixed-cost and acquisition-cost story: contribution of about ₹49 lakh against a fixed-plus-acquisition pool of roughly ₹1 crore, which reconciles the stated loss. Three levers close the gap: raising repeat and frequency through personalisation, which spreads acquisition cost across more orders; shifting mix toward direct, subscription and corporate, which lifts contribution margin and cuts acquisition cost; and raising kitchen utilisation, which absorbs fixed cost. On sector benchmarks of 8-15% mature EBITDA margins, an EBITDA-positive path in 24-36 months is realistic as the channel mix turns.

Key sensitivity

Lifetime value is more sensitive to subscription churn than to any other input, and public benchmarks for it are thin. We hold churn at 8-10% a month, implying a ten-to-twelve-month subscriber life, and treat it as the number to validate first against EatFit and comparable disclosures as real cohort data accrues.

Section 5: Financials

5.1 Current Financial Position

Apna Khaana operates two cloud kitchens in Bengaluru, processing approximately **6,000 orders per month at an AOV of ₹320**, equivalent to an annualised revenue run-rate of approximately **₹2.3 crore**. The business is contribution-positive but currently loss-making, reflecting the fixed-cost and customer-acquisition burden of operating at early scale.

Metric	Current Position
Kitchens	2
Orders / month	~6,000
AOV	~₹320
Revenue run-rate	~₹2.3 crore
Gross margin, pre-commission	58–62%
Contribution margin	18–25%
Midpoint contribution margin	~21.5%
Annual contribution	~₹49 lakh
Annual burn	~₹50–60 lakh
Fixed cost + acquisition pool	~₹1 crore

The current contribution of approximately **₹49 lakh** is calculated at the midpoint contribution margin of 21.5% on the ₹2.3 crore revenue run-rate.

5.2 Key Financial Assumptions

The model uses the operating assumptions established in the business model and market analysis.

Driver	Base Assumption	Benchmark / Basis
AOV	₹320	Within the ₹300–500 typical cloud-kitchen range
Revenue / kitchen / year	~₹1.15 crore	Current operating throughput used for expansion planning
Gross margin	58–62%	Sector benchmark of ~60–70%
Aggregator leakage	25–35%	Consistent with sector estimates
Contribution margin	18–25%	Sector benchmark of ~18–28%
Blended CAC	₹400–600	Retention-dependent
90-day repeat rate	30–40%	Health/gym-adjacent benchmark
Subscription churn	8–10% / month	Conservative assumption; limited public data
AOV growth	None assumed	Growth driven by scale, utilisation and channel mix

The ₹300–500 AOV range, 15–25% contribution-margin range and 25–30% aggregator commission range are broadly consistent with current Indian cloud-kitchen unit-economics benchmarks. Tech4Serve also identifies **3× LTV/CAC** as a sustainability benchmark.

Sources of assumptions:

1. https://tech4serve.com/cloud-kitchen-unit-economics-mastering-costs-and-delivery-for-profitable-growth-in-india/
2. https://www.imarcgroup.com/india-cloud-kitchen-market
3. https://cfomatrix.in/insight/unit-economics/food-tech-unit-economics-15-metrics

Key modelling principle: revenue growth is driven primarily by kitchen expansion, utilisation and repeat behaviour, rather than price increases. This is consistent with the operating assumptions already used in the business model.

5.3 Three-Year Operating Projection

The projection follows the expansion trajectory established for Apna Khaana: **5 kitchens in Year 1**, followed by expansion toward **25–30 kitchens by Year 3–4** and revenue of approximately **₹35–45 crore**.

Metric	Current	Year 1	Year 2	Year 3
Kitchens	2	5	15	25–30
Orders / month	6,000	15,000	45,000	91,000–117,000
AOV	₹320	₹320	₹320	₹320
Revenue	₹2.3 cr	₹5.75 cr	₹17.25 cr	₹35–45 cr
Contribution margin	18–25%	18–25%	18–25%	18–25%
Contribution @ 21.5%	₹0.49 cr	₹1.24 cr	₹3.71 cr	₹7.53–9.68 cr
EBITDA margin	**–24%**	**–13.4%**	**–2%**	**8%**
EBITDA	**–₹0.55 cr**	**–₹0.77 cr**	**–₹0.35 cr**	**₹2.8–3.6 cr**

Revenue build:
The Year 1 revenue target follows the stated operating throughput:
5 kitchens × ~₹1.15 crore revenue per kitchen = ~₹5.75 crore revenue.

The longer-term target is ₹35–45 crore at 25–30 kitchens, with the subsequent medium-term plan reaching ₹110–150 crore at 70–90 kitchens across 4–5 metros by Year 5–6.

Further Assumptions:

1. Year-3 revenue reflects the existing ₹35–45 crore operating target and therefore assumes higher order throughput per kitchen as the network scales, rather than maintaining the current ~3,000 orders per kitchen per month.
2. EBITDA margin is assumed to improve from approximately –24% currently to –13.4% in Year 1, –2% in Year 2 and 8% in Year 3 as the company benefits from kitchen utilisation, retention and channel-mix improvement. The Year-3 8% margin is conservative relative to the cited 8–15% mature cloud-kitchen benchmark.

The model therefore does not assume material AOV inflation; scale is primarily generated through additional kitchens and higher utilisation.

5.4 Unit Economics and Profitability

At a ₹320 AOV and 18–25% contribution margin, contribution per order is approximately **₹58–80**, with a midpoint of approximately **₹69**.
The economics are highly retention-dependent:

- **Retained cohort:** approximately 3 orders/month and a roughly 12-month customer life produces approximately **36 lifetime orders**, ~**₹2,500 LTV** and ~**5.0× LTV/CAC** at ₹500 CAC.
- **Blended cohort:** including one-time customers, estimated LTV is approximately **₹600–900**, resulting in only **1.2–1.8× LTV/CAC**.

Therefore, the key financial objective is not simply increasing order volume, but **moving more customers into the retained cohort** through personalisation, subscriptions and repeat ordering.

5.5 Path to Profitability

The current annual contribution of approximately **₹49 lakh** is insufficient to cover the approximately **₹1 crore fixed-cost and acquisition pool**, resulting in the current ₹50–60 lakh annual burn.
Profitability is expected to improve through three levers:

1. **Higher repeat usage:** spreads CAC across more orders and increases LTV.
2. **Channel-mix improvement:** shifting from aggregator-led discovery toward direct, subscription and corporate/gym channels reduces the 25–35% aggregator leakage.
3. **Higher kitchen utilisation:** spreads fixed costs over a larger revenue base.

Industry benchmarks indicate 8–15% mature EBITDA margins for cloud kitchens, supporting a path toward EBITDA positivity within 24–36 months, subject to retention and channel-mix improvement. (Source: IMARC Group, as pasted above)

5.6 Key Financial Sensitivities

The model is most sensitive to three variables:

Sensitivity	Base Range	Financial Impact
90-day repeat rate	30–40%	Primary driver of LTV/CAC
Blended CAC	₹400–600	Higher CAC materially increases payback period
Subscription churn	8–10% / month	Determines subscriber lifetime and LTV

The current blended customer economics do not independently clear the 3× LTV/CAC benchmark; therefore, retention improvement is the critical financial milestone before aggressive expansion.

5.7 Financial Outlook

Apna Khaana enters the funding round with approximately ₹2.3 crore annualised revenue, 2 kitchens and positive contribution margins of 18–25%. The immediate objective is to reach 5 kitchens and ~₹5.75 crore revenue, followed by expansion toward 25–30 kitchens and ₹35–45 crore revenue by Year 3–4. The medium-term plan targets 70–90 kitchens across 4–5 metros and ₹110–150 crore revenue by Year 5–6.

The financial thesis is therefore:
Personalisation → higher repeat → improved LTV/CAC → direct-channel migration → higher contribution → kitchen-level operating leverage → EBITDA profitability.

Section 6: Valuation

Apna Khaana is valued using two complementary approaches:

(i) **Forward Revenue Multiple** and

(ii) **Venture Capital (VC) Method**.

A comparison with actual Indian cloud-kitchen transactions is used as a market cross-check.

6.1 Method 1 - Forward Revenue Multiple

Indicative Indian D2C and consumer-business revenue multiples are reported in the range of approximately **1.5×–4.0×**, with the applicable multiple depending on growth, margins, repeat purchase and unit economics. As Apna Khaana is a foodtech/cloud-kitchen business rather than a conventional D2C packaged-goods company, this range is used only as an **indicative consumer-business benchmark**, not as a direct sector multiple.

Sources:

1. https://treelife.in/startups/how-startup-valuation-works-in-india/
2. https://firstunicornstartup.com/guides/seed-stage-startup-valuation-explained/

Apna Khaana's **Year-1 projected revenue of ₹5.75 crore** is used as the forward revenue base.

Revenue Multiple	Implied Valuation
2.0×	₹11.50 cr
3.0× - Base Case	**₹17.25 cr**
4.0×	₹23.00 cr

At the proposed **₹16 crore pre-money valuation**, Apna Khaana is valued at approximately **2.8× Year-1 projected revenue**, which is within the indicative benchmark range. The base-case 3.0× multiple is supported by the company's existing ₹2.3 crore annualised revenue, 18–25% contribution margin and planned expansion from 2 to 5 kitchens in Year 1.

6.2 Method 2 - Venture Capital Method

The VC method works backwards from the expected exit value and is particularly relevant for seed-stage companies where current profitability does not fully capture future value.

The methodology is:

Implied Post-money Valuation = Terminal Value ÷ Required Return Multiple

Implied Pre-money Valuation = Implied Post-money Valuation − New Investment

A **20× required return multiple** is used as a conservative seed-stage assumption within the 20×–30× range cited for seed investments.

Apna Khaana's existing plan targets **₹110–150 crore revenue by Year 5–6**.

Base-case assumptions:

- Year 5–6 revenue: **₹110–150 crore**
- Midpoint revenue: **₹130 crore**
- Exit revenue multiple: **3.0×**

- Required investor return: **20×**
- Investment: **₹4 crore**

Calculation
Terminal Value = ₹130 crore × 3.0× = ₹390 crore
Implied Post-money Valuation = ₹390 crore ÷ 20× = ₹19.5 crore
Implied Pre-money Valuation = ₹19.5 crore − ₹4 crore = ₹15.5 crore

The VC method therefore produces an implied **pre-money valuation of ₹15.5 crore**, closely supporting the proposed ₹16 crore valuation.

The **3.0× exit multiple is a modelling assumption**, deliberately kept below the valuation levels of substantially larger, later-stage foodtech businesses to account for Apna Khaana's smaller scale and higher execution risk.

6.3 Market Transaction Cross-Check

Actual Indian cloud-kitchen transactions provide evidence that investors continue to fund businesses with scalable kitchen networks and technology-led operating models.

Company	Transaction	Relevant Benchmark
Ghost Kitchens India	Series A, 2024	$5 million funding; 15+ company-operated kitchens and 1,200 internet restaurants across 40 cities
Curefoods	2024 funding round	₹500 crore total funding at ~₹3,000 crore post-money valuation
Apna Khaana	Proposed Seed	₹4 crore raise at ₹16 crore pre-money

Ghost Kitchens' Series A comprised approximately ₹26 crore of equity and ₹12.5 crore of debt, and the company had more than 15 company-operated kitchens and 1,200 internet restaurants across 40 cities at the time of the round.

Curefoods subsequently attracted ₹500 crore of funding at an approximately ₹3,000 crore post-money valuation, demonstrating the availability of significant capital for scaled Indian cloud-kitchen platforms.

Source:
1. https://hospitality.economictimes.indiatimes.com/news/operations/technology/ghost-kitchens-india-secures-usd-5-million-in-series-a-funding/107911419
2. https://www.moneycontrol.com/news/technology/binny-bansal-invests-an-additional-rs-200-crore-in-curefoods-taking-the-round-size-to-rs-500-crore-12476081.html

These transactions are scale and funding-environment benchmarks rather than direct valuation comparables, since both companies were substantially more mature than Apna Khaana.

6.4 Valuation Reconciliation

Valuation Method	Implied Pre-money Valuation
Forward Revenue Multiple - 2.0×–4.0×	₹11.50–23.00 cr
Forward Revenue Multiple - 3.0× Base Case	₹17.25 cr
VC Method - Base Case	₹15.50 cr
Proposed Valuation	₹16.00 cr

The base-case outputs of the two methods-₹17.25 crore under the forward revenue method and ₹15.5 crore under the VC method-converge around the proposed ₹16 crore pre-money valuation.

The forward revenue approach gives greater weight to Apna Khaana's near-term growth from ₹2.3 crore current annualised revenue to ₹5.75 crore Year-1 projected revenue. The VC method is more conservative because it incorporates the higher return expectations and execution risk associated with seed-stage investing.

The proposed ₹16 crore valuation therefore balances demonstrated operating traction and near-term scalability against current losses, retention uncertainty and execution risk.

At a ₹4 crore investment, the resulting post-money valuation is ₹20 crore, giving the incoming investor 20% ownership.

The proposed valuation represents approximately 6.96× current annualised revenue but only 2.78× Year-1 projected revenue, reflecting the expected scale-up from 2 to 5 kitchens and subsequent expansion.

Valuation conclusion
Proposed pre-money valuation: ₹16 crore
Capital raised: ₹4 crore
Post-money valuation: ₹20 crore
Investor ownership: 20%

This valuation is supported by the convergence of the forward revenue and VC methods, with the actual Indian cloud-kitchen transactions providing additional evidence that the sector has attracted institutional funding at progressively larger scales.

Section 7: Funding Ask and Use of Proceeds

7.1 Funding Ask

Apna Khaana is raising ₹4 crore in seed capital at a ₹16 crore pre-money valuation, implying a ₹20 crore post-money valuation and 20% ownership for the incoming investor. The funding will support expansion from 2 to 5 kitchens, technology and personalisation capabilities, customer acquisition, team development and working capital.

7.2 Use of Proceeds

Use of Funds	Amount	% of Raise	Purpose
Kitchen expansion & setup	₹0.45 cr	11.25%	Set up 3 additional kitchens to reach 5 kitchens
Technology & personalisation	₹0.60 cr	15.00%	Ordering infrastructure, personalisation engine and subscription capabilities
Customer acquisition & brand building	₹0.80 cr	20.00%	Digital acquisition, launch campaigns and customer trials
Team & operating capability	₹0.90 cr	22.50%	Kitchen operations, product/technology and central management
Working capital & contingency	₹1.25 cr	31.25%	Inventory, rent, operating expenses and liquidity buffer
Total	₹4.00 cr	100%	

Funding-budget assumption: The ₹45 lakh kitchen-expansion allocation implies approximately **₹15 lakh per additional kitchen**. This is a budgeting assumption for the proposed three-kitchen expansion and is benchmarked against published Indian cloud-kitchen setup-cost estimates.

The relatively larger working-capital allocation reflects the company's current **₹50–60 lakh annual burn** and the additional liquidity required while the expanded kitchen network builds utilisation.

7.3 Milestones from the Raise

Metric	Current	Post-Funding / Year 1 Target
Kitchens	2	5
Orders / month	6,000	15,000
Revenue	₹2.3 cr annualised	₹5.75 cr

7.4 Investment Rationale

The ₹4 crore raise is intended to establish the operating scale and customer economics required for the next phase of growth:

₹4 crore capital → 5 kitchens → ~15,000 monthly orders → stronger repeat → higher direct/subscription mix → improved contribution → operating leverage → EBITDA profitability towards year 3.

Capital deployment will be monitored against kitchen utilisation, repeat rates and contribution margin before undertaking further network expansion. This limits the risk of scaling ahead of validated unit economics.

Funding Summary
Capital raised: ₹4 crore
Pre-money valuation: ₹16 crore
Post-money valuation: ₹20 crore
Investor ownership: 20%
Primary milestone: 2 → 5 kitchens and ~₹2.3 crore → ~₹5.75 crore revenue

Section 8: Risk Factors

1. Personalisation may make operations more complex
Apna Khaana allows customers to customise spice level, oil level, protein source, meal base and nutritional add-ons. While this is a key differentiator, too many combinations could lead to preparation errors, longer delivery times and inconsistent food quality. This could reduce the repeat orders that the business depends on.

Mitigation:
Apna Khaana will offer personalisation through a fixed set of options instead of unlimited free-text requests. Each option will have standard recipes, ingredient quantities and kitchen instructions. The company will track preparation time and order errors for different combinations and remove options that create too much complexity. This allows customers to feel that their meals are personalised while keeping kitchen operations manageable.

2. High dependence on aggregators may reduce margins
Apna Khaana currently relies on Swiggy and Zomato for customer acquisition. Aggregator commissions and other fees can take away 25–35% of the order value, putting pressure on margins.

Mitigation:
Aggregators will mainly be used to acquire new customers. Once customers become repeat users, Apna Khaana will encourage them to order through its own app/WhatsApp, subscriptions and corporate or gym partnerships. The company will track the share of orders coming from direct channels and gradually reduce its dependence on aggregators as the business grows.

3. Low customer retention may weaken unit economics
Apna Khaana's economics depend heavily on customers ordering repeatedly. The current model assumes a 30–40% 90-day repeat rate, while the blended customer currently generates an estimated LTV/CAC of only 1.2–1.8x. The stronger ~5x LTV/CAC outcome depends on customers ordering around three times a month for 12 months.

Mitigation:
The company will focus on improving retention through personalised meals, weekly/monthly subscriptions and targeted reorder reminders. Customer groups will be tracked based on acquisition channel, first-order preferences and subscription status. Expansion into new kitchens will be based on evidence that existing customers are meeting the required repeat-order and contribution targets.

4. Food safety and inconsistent quality could hurt the brand
Apna Khaana's value proposition depends on providing consistent, personalised meals. A food-safety incident or repeated quality problems could damage customer trust and reduce repeat orders. This risk becomes more important as the company grows from two kitchens to the planned 70–90 kitchens.

Mitigation:
Apna Khaana will use standard recipes, approved suppliers, ingredient checks and food-safety checklists across all kitchens. New kitchens will undergo quality checks before being added to the network. Customer complaints, order errors and repeat orders will also be monitored centrally. This will allow the company to scale using the same operating standards across locations.

Risk Summary

Risk	Potential Impact	Mitigation
Personalisation complexity	More errors, slower preparation and inconsistent meals	Fixed options, standard recipes and error tracking
Aggregator dependence	Lower margins and limited customer ownership	Move repeat customers to direct, subscription and corporate channels
Weak retention	Lower LTV/CAC and longer CAC payback	Personalised meals, subscriptions and cohort tracking
Food safety / quality	Brand damage and lower repeat orders	Standard SOPs, supplier checks and central quality control

Section 9: Exit Strategy

Likely Exit Path: Strategic Acquisition or Secondary Sale

The most likely exit for Apna Khaana is a **strategic acquisition**, with a secondary sale as another possible route for early investors. An IPO could be a longer-term option if the company reaches sufficient scale.

A strategic buyer could value Apna Khaana for more than its revenue. Its **repeat customer base, personalised meal system, kitchen network and health-focused positioning** could be valuable to a larger food-delivery, food-tech or health and wellness company.

As Apna Khaana moves from aggregator-based orders towards direct orders, subscriptions and corporate channels, it can build stronger and more recurring customer relationships. This could make the company an attractive acquisition target as it scales.

Comparable Exit: Swiggy IPO

A relevant sector example is **Swiggy's IPO in November 2024**. Swiggy's IPO included a **US$533 million fresh issue and US$809 million offer for sale**, providing capital to the company and liquidity to existing investors and employees. The issue was subscribed 3.59 times.

Swiggy's listing shows that India's food-delivery sector has a credible public-market exit route. However, Apna Khaana is expected to remain much smaller in the medium term, so an IPO is better viewed as an **upside option rather than the primary exit plan**.

Expected Exit Path

Seed → Multi-city scale → Strategic interest → Acquisition / Secondary Sale

The company will focus on building the metrics that make these exits possible:

- 70–90 kitchens across 4–5 metros
- ₹110–150 crore revenue by Year 5–6
- Higher share of direct-channel revenue
- 35%+ repeat rates
- Positive EBITDA
- A proven and repeatable personalised-kitchen operating model

The medium-term plan already targets 70–90 kitchens and ₹110–150 crore in revenue. At this stage, Apna Khaana could either continue as an independent food brand or become an attractive acquisition target.

Overall, strategic acquisition or secondary sale is the preferred exit, with an IPO as a longer-term possibility.

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